Glossary — Words We Use Precisely

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This course brainwashes you into an ambitious, conversion-heavy mindset — and vocabulary is the delivery mechanism. These definitions are fixed. We will correct you in check-ins. Kindly. Every time.

The Core Five

Term	Definition	What it is NOT
VALIDATION	Somebody opens their wallet.	Interviews, likes, signups, compliments — that's all *signal*.
SIGNAL	Evidence below the wallet line (interviews, clicks, signups, waitlists). Earns you the right to run the next, more expensive test.	Proof. Signal never "validates" anything.
PROTOTYPE	A very quickly built slice of the product that your user base is **willing to pay money for**.	A mockup, a Figma flow, a demo video. Those are *props* — useful for collecting signal, but nobody pays for a prop.
FUNCTIONAL PROTOTYPE	A slice of the product that works and that people from your segment use (rung 5 of the pyramid). It shows whether you solve the problem.	A paid prototype. It becomes one, rung 6 and validation, when somebody pays.
CUSTOMER	A user who pays.	A user. A user who doesn't pay is a **fan**. Fans are lovely and pay no rent.
KILL	An evidence-based decision to stop — announced, documented, celebrated.	Failure. In this course a rigorous kill is a gradeable win (see the rubric).

The Supporting Cast

Term	Definition
User	Someone who actually uses the product. Not someone who said they would.
Pilot	A *paid* engagement with fixed scope, fixed duration (2–4 weeks), agreed success criteria, and a conversion path to recurring revenue. An unpaid pilot is a favor.
MVP	The smallest thing that can trigger validation (a wallet opening). If it can't be paid for, it's not viable — it's minimal and useless.
Concierge	Delivering the outcome as a manual service, zero product. Fully legitimate revenue; the highest-signal prototype there is.
Traction	Customers paying repeatedly without custom scope. Two kinds count, and the course tracks both. A repeatable offer is the same offer bought by more than one customer (Module 09). Retention is the same customer staying or paying again (Module 10). One favor-sale is an anecdote.
Activated user	A user who reached the outcome your product promises, not one who only signed up. Module 06 logs it per user, Module 08 counts it per channel. Framework 06 calls the moment the "magic moment".

Term	Definition
Revenue quality	The ladder: custom project < paid pilot < repeatable offer < recurring subscription. The leaderboard ranks quality, not just quantity.
Self-serve	A customer buys without a founder in the sale. The ask, the checkout or the order form sit in the product. A demo before is fine.
Price test	A price, its structure and a line committed before the asks, counted in payments. Survey answers can pick the price. Only payments test it.
Webhook	A message an outside service sends to your product's address when something happens, a payment, say. Check its signature before you trust it.
Retention	The share of customers who come back, counted from what your product records (the outcome used again, a second payment), per cohort and in counts under 20. The verdict on product-market fit.
Churn	Customers who leave in a period. It caps growth, because customers settle where new ones equal lost ones (20 new a month at 10% churn settle near 200).
Cohort	Everyone who first paid (or first reached the outcome) in the same week or month, read on their own.
North Star metric	One weekly count of the value paying customers get, in their units, broken into a few drivers with an owner each. Revenue follows from it.
Product-market fit	Customers who stay and pay again without you pushing. The Sean Ellis share ("very disappointed") is a compass toward it, retention is the verdict.
Burn rate	What the venture spends a month. Count the pay each founder would need to work on it full time, or every student team looks cheap.
Runway	Months until the cash runs out: cash divided by burn minus revenue.
Default alive	Your expenses stay as they are, your revenue keeps growing as it has, and you reach profitability on the money you have. If not, you are default dead (framework 04, Graham 2015).
LTV, CAC, payback	What a customer brings in over their life with you (lifetime value), what it costs to win one (acquisition cost), and the months until a customer has paid back that cost. Growth pays when LTV is well above CAC.
Non-dilutive money	Money that costs you no shares: revenue, grants, prizes, loans. Customers' money first.
Power law	In venture capital a few companies return the whole fund and most return less than they cost, so investors fund only what could get very big (Module 12).
Evidence pack	Your Student Toolkit as it stands, each payment with its proof. What Demo Day is judged on, nothing extra to hand in.
Hair-on-fire segment	The people who have the problem worst: frequency × intensity × current spend — and would text you at 2am about it.
Budget authority	The person who can say yes to money. The pain-haver and the budget-holder are often different people; your Pain Map carries both.
Vision / Moonshot	The mountain: market ceiling, why it matters, who joins you. Picks *which* wedges are worth driving.

Term	Definition
Validated learning	What you found out about real customers from what they did, backed by data from them. The only progress that counts early on (Eric Ries). A patent, a grant, an award or a growing follower count is not.
Vanity metric	A number that goes up and to the right but tells you nothing about whether anyone will pay, such as followers, page views, total sign-ups or press. A count from a test with a line set beforehand, like sign-ups from a targeted landing page (Module 04), is evidence.
Accountability group	3 to 7 teams at your pace that meet every two weeks. Each team brings one two-week goal the group tested for learning, revenue and lasting value, and reports it candidly against the actual (Module 00, the Accountability Group Tracker). Numbers, not effort.
Sandbagging	Setting goals you know you will beat. A team that hits every goal sets them too small. Aim to hit about two in three.
Wedge	The first foothold: a problem so specific you can win it this semester. Where the vision touches the ground.
Threshold	A pass/fail number written and dated BEFORE the test (Kill Criteria Log). Anything committed after seeing data is commentary, not a threshold.
Monkey first	Test the hardest, most uncertain assumption first — never the pedestal that feels like progress.
GPK	Go / Pivot / Kill — decided on pre-committed criteria, scored on artifacts (framework 03).
Pivot	Changing one thing on evidence, while keeping what the evidence supports. Type 1 changes the solution to a proven problem (another form, segment within the problem or price model). Type 2 goes back to the problem space. Changing everything is a restart, not a pivot.
Pre-mortem	Imagining the venture or experiment already dead and writing down why, alone first, before the data says so (Klein, HBR 2007). Every cause becomes an assumption you can test.
Kill Ritual	The one page you write when you kill something: what the evidence said, which line it crossed, what surprised you, what you'd tell the next founder (framework 03).
Founder-problem fit	Where your unique insight, a problem worth solving and what your team can execute overlap. Said in one to three sentences, it is your early-stage pitch (Module 02).
DVF	Module 02's one gate from many ideas to one. Desirable, viable, feasible, each score marked heard (name the person) or assumed. Viable asks what people spend today, not what they say they would pay.

Say This, Not That

Don’t say	Say
“We validated the problem with 10 interviews.”	“We collected strong interview *signal*. Validation starts when a wallet opens.”
“We have 50 users!”	“We have 50 users and 0 customers — conversion is this week’s job.”
“Our prototype is almost ready to show.”	“Our prototype is live; 3 strangers used it; 1 paid.”
“The pilot went great, they loved it.”	“The pilot converted at €400/month starting March.”
“We failed — the idea didn’t work.”	“We killed it on evidence: threshold was 10%, we measured 2%. Here’s the autopsy and the next test.”
“We’re pre-revenue.”	Never say this. You’re “three asks away from revenue” — and you know the three names.

Used in every check-in from Module 00 onward. If a slide, workshop, or homework uses these words loosely, flag it — the language IS the mindset.